

HSC BUSINESS STUDIES

# Operations

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## Practice questions by syllabus point

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**101 questions** · 0 shown as screenshots of the printed paper · 21 of 26 syllabus points covered

Drawn from 23 papers: NESA HSC 2019–2023, school trial papers 2023–24, and topic question banks.

### HOW TO USE THIS BOOKLET

- Questions sit under the syllabus dot point they actually test, in syllabus order.
- Ruled space follows each question, sized to its mark value — write straight onto the page, on paper or with a stylus.
- A question testing more than one dot point is printed once and cross-referenced from the others.
- Where a scan of the original page exists it is shown as-is, so you see the real layout and mark boxes.

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### Influences

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### Operations processes

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### Operations strategies

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PART 1

# Role of operations management

## Strategic role of operations management — cost leadership, good/service differentiation

1. **Learn to 7** HSC Final Exam Preparation — OPERATIONS

explain how operations strategy can help a business sustain its competitive advantage

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2. **21 (a)** Loreto Trial 2024

2 marks

Outline the role of operations in supporting FashionForward's international expansion.

**STIMULUS**

FashionForward is an Australian luxury clothing retailer with retail stores in each state and an online shop. It wants to expand retail stores globally using its current overseas suppliers in China, France and Italy. Recent media reports state that Australians throw away an average of 23 kilograms of clothing to landfill each year. As a result, FashionForward is facing challenges related to environmental sustainability.

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3. 21 (b) Roseville Trial 2023

2 marks

Describe the strategic role of operations adopted by this business.

STIMULUS

Make Ur Own Ice Cream Pty Ltd is a premium self-serve ice cream shop where customers can grab whatever lollies and chocolates they want and add them into their ice creams. They only stock high-quality ingredients. The company weighs the product and charges a price based on how heavy it is.

4. 21 (a) Reddam Trial 2023

2 marks

Outline ONE strategic role of operations management for the car retailer.

STIMULUS

A car retailer expects high demand and orders extra stock of the latest release lower priced, electric car. The car retailer also provides longer warranties than competitors as well as car repairs and services.

5. Question 21 (a) HSC Final Exam Preparation — OPERATIONS

2 marks

Describe how the management of Super Trunks could achieve a competitive advantage through its operations.

STIMULUS

Super Trunks is a well-known underwear brand currently manufactured in South Sydney. The brand is becoming more recognised and demand for its products has increased dramatically. It has recently been contacted by overseas stores and consumers interested in buying its underwear.

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6. 23 (a) 2020 HSC Business Studies

4 marks

How could the strategic role of operations management assist this business?

STIMULUS

A denim jeans clothing store is concerned about declining sales. It has identified that the lower sales are a result of: outdated store presentation; increased foreign competition; and a reluctance to adopt modern in-store payment methods.

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Also tested by questions 13, 14, 15.

**Goods and/or services in different industries (standardised/customised, perishable, intangible)**

**7. Learn to 5** HSC Final Exam Preparation — OPERATIONS

describe the features of operations management for businesses in a tertiary industry

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**Interdependence with other key business functions**

**8. Learn to 6** HSC Final Exam Preparation — OPERATIONS

assess the relationship between operations and the other key business functions in two actual businesses

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9. 23 (b) Abbotsleigh Trial 2024

3 marks

Explain the interdependence of operations and marketing for this business.

STIMULUS

Precision Shave produces and sells a collection of eco-friendly razors made from sustainable materials. The business is also introducing a subscription service that delivers customised shaving kits catering to the specific needs of individual consumers.

10. 24 (b) Newington Trial 2023

4 marks

Explain the interdependence of marketing and operations for this business

STIMULUS

Tom is establishing a new business, 'Super Specs', that produces and sells sunglasses to consumers. The business has a wide range of products, differing in price and quality. After conducting extensive market research, he has determined that consumers would rather pay more for a higher quality product.

**11. 2012 HSC Question 22 (d)** 2021 Finance Practice HSC Questions

**4 marks**

Explain the interdependence of finance and operations in a business. Support your answer with relevant examples.

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12. 21 (c) Loreto Trial 2024

**5 marks**

Demonstrate the interdependence between operations and marketing for this business.

## STIMULUS

FashionForward is an Australian luxury clothing retailer with retail stores in each state and an online shop. It wants to expand retail stores globally using its current overseas suppliers in China, France and Italy. Recent media reports state that Australians throw away an average of 23 kilograms of clothing to landfill each year. As a result, FashionForward is facing challenges related to environmental sustainability.

## PART 1 · EXTENDED RESPONSE

# Role of operations management — 20-mark questions

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3 questions. Plan and write these on separate paper.

**13. 26** Newington Trial 2023**20 marks**

Evaluate the importance of operations strategies in achieving the strategic role of operations in a business.

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**14. 27** 2022 HSC Business Studies**20 marks**

Explain the importance to a business of having operations processes that can maintain a competitive advantage.

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**15. Question 25** HSC Final Exam Preparation — HRM**20 marks**

Write a report for the directors of Fast Burgers Ltd in which you:

- describe the role of operations management for this business
- demonstrate why corporate social responsibility should remain a key concern in the operation of this business
- recommend THREE human resource strategies that Fast Burgers Ltd could use to maintain its record as an excellent employer

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**STIMULUS**

Fast Burgers Ltd is a large fast food business that has been operating for 15 years in a market with high levels of competition. Recently Fast Burgers Ltd has offered its employees an extra day of annual leave in order to participate in charity work. This has been popular among staff, and the business publishes a short summary of these activities on its social media sites. Additionally Fast Burgers Ltd received an award for its services to its staff and to society. Similar businesses are now adopting this approach, so Fast Burgers Ltd is considering what else can be done to maintain its record as an excellent employer.

PART 2

# Influences

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## Globalisation

**16. Learn to 2** HSC Final Exam Preparation — OPERATIONS

examine the impact of globalisation on operations strategy

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**17. 21 (a)** Reddam Trial 2024

**2 marks**

Explain the impact of ONE operational influence on the sports shoe manufacturer.

**STIMULUS**

Case scenario: a leading sports shoe manufacturer enables customers to design their own shoes. This has required the business to purchase an additional factory and machinery.

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18. 21 (b) Roseville Trial 2024

3 marks

Describe ONE influence on operations that is relevant to this business.

STIMULUS

Sushi Train — a successful global Japanese fast food company rapidly expanding in Australia. Customers are attracted to its unique process layout, in which little plates of sushi rotate around on a train-style system. Customers take meals directly from the train and watch their meals being produced in front of them.

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**19. 23 (b)** 2020 HSC Business Studies

**6 marks**

Analyse operations strategies that could be used to address TWO operations influences affecting this business.

## STIMULUS

A denim jeans clothing store is concerned about declining sales. It has identified that the lower sales are a result of: outdated store presentation; increased foreign competition; and a reluctance to adopt modern in-store payment methods.

**20. Question 21 (c)** HSC Final Exam Preparation — OPERATIONS

**6 marks**

Explain how globalisation and legal regulations might influence the operations strategies used by Super Trunks.

## STIMULUS

Super Trunks is a well-known underwear brand currently manufactured in South Sydney. The brand is becoming more recognised and demand for its products has increased dramatically. It has recently been contacted by overseas stores and consumers interested in buying its underwear.

Also tested by questions 35, 36, 37, 38.

## Technology

*No short-answer question of its own. Covered inside questions 17, 18, 19, 35, 36, 37.*

Quality expectations

21. 23 (c) Newington Trial 2023

2 marks

Outline how quality expectations could impact this business

**STIMULUS**

Rebecca owns and operates a health food business. Due to an increase in competition from large retail chains, she needs to revise her operational strategies. A problem that her customers have identified is products that are consistently 'out of stock', as well as damaged goods in need of replacing.

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Also tested by questions 17, 18, 35, 39.

Cost-based competition

22. 21 (b) 2023 HSC Business Studies

3 marks

Explain the benefits of achieving economies of scale for both the business and consumers.

**STIMULUS**

An Australian tyre manufacturer is expanding its business. In order to reduce operating costs and increase sales and profit, rubber will be sourced from the global market. The business wants to: maintain quality outputs; achieve economies of scale.

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23. 22 (c) Abbotsleigh Trial 2023

4 marks

Assess the influence of cost-based competition on this business.

STIMULUS

Tasty Bites Café is a food-based business that aims to revitalise its competitive edge by expanding its menu to include a wider range of culinary offerings. By introducing innovative dishes in addition to their existing menu, the business aims to establish itself as a destination for delicious and satisfying dining experiences.

Also tested by questions 35, 37.

Government policies

24. Learn to 3 HSC Final Exam Preparation — OPERATIONS

identify the breadth of government policies that affect operations management

Also tested by question 35.

Legal regulation

No short-answer question of its own. Covered inside questions 20, 35, 40.

Environmental sustainability

25. Question 21 (b) HSC Final Exam Preparation — OPERATIONS 2 marks

Recommend ONE way Super Trunks could incorporate environmental sustainability into its operations.

STIMULUS

Super Trunks is a well-known underwear brand currently manufactured in South Sydney. The brand is becoming more recognised and demand for its products has increased dramatically. It has recently been contacted by overseas stores and consumers interested in buying its underwear.

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26. 21 (b) Loreto Trial 2024 3 marks

Discuss the impact of environmental sustainability on FashionForward's operations.

STIMULUS

FashionForward is an Australian luxury clothing retailer with retail stores in each state and an online shop. It wants to expand retail stores globally using its current overseas suppliers in China, France and Italy. Recent media reports state that Australians throw away an average of 23 kilograms of clothing to landfill each year. As a result, FashionForward is facing challenges related to environmental sustainability.

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27. 21 (b) SIC Trial 2024

4 marks

A market leading business manufactures electronics.

Explain how environmental sustainability can influence the operations of this business.

**STIMULUS**

One-line scenario: a market leading business that manufactures electronics.

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28. 21 (d) Roseville Trial 2023

4 marks

How could this business demonstrate leadership in relation to environmental sustainability in their operations?

STIMULUS

Make Ur Own Ice Cream Pty Ltd is a premium self-serve ice cream shop where customers can grab whatever lollies and chocolates they want and add them into their ice creams. They only stock high-quality ingredients. The company weighs the product and charges a price based on how heavy it is.

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29. 24 (c) 2019 HSC Business Studies

4 marks

Why might this business be reluctant to become more socially responsible?

**STIMULUS**

Question 24 scenario: A juice bar is operating in a shopping centre. The juice is served to customers in plastic cups with plastic straws. The high sales volume and quick turnover demand an efficient operations process. (Single-use plastic cups and straws are the environmental/social responsibility issue.)

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**30. 23 (c) Abbotsleigh Trial 2024**

**5 marks**

Assess the influence of corporate social responsibility on operations management for Precision Shave.

## STIMULUS

Precision Shave produces and sells a collection of eco-friendly razors made from sustainable materials. The business is also introducing a subscription service that delivers customised shaving kits catering to the specific needs of individual consumers.

Also tested by questions 35, 36.

## Corporate social responsibility — legal compliance vs ethical responsibility; environmental sustainability & social responsibility

### 31. Learn to 4 HSC Final Exam Preparation — OPERATIONS

explain why corporate social responsibility is a key concern in operations management.

**32. 22 (a)** Barker Trial 2024

**2 marks**

Distinguish between legal compliance and corporate social responsibility.

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**33. 21 (c)** Reddam Trial 2023

**2 marks**

Why may this business exceed its legal obligations when offering warranties to customers?

**STIMULUS**

A car retailer expects high demand and orders extra stock of the latest release lower priced, electric car. The car retailer also provides longer warranties than competitors as well as car repairs and services.

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**34. 21 (d)** Barker Trial 2023

**4 marks**

With reference to a business you have studied, discuss the impact of corporate social responsibility on the operations process.

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*Also tested by questions 15, 29, 30, 35, 40.*

## PART 2 · EXTENDED RESPONSE

# Influences — 20-mark questions

6 questions. Plan and write these on separate paper.

**35. 27** 2023 HSC Business Studies

**20 marks**

To what extent do influences on operations affect business success?

**36. 25** 2021 HSC Business Studies

**20 marks**

You have been hired as a consultant by Ozzi Baby Food Pty Ltd to write a business report to the owners. In your report:

- outline TWO operations influences affecting this business
- discuss the use of retraining and redundancy payments to help overcome employee resistance to these changes
- compare the use of a mortgage to a new issue of shares to fund the factory purchase.

## STIMULUS

Hypothetical business: Ozzi Baby Food Pty Ltd has a trusted reputation in domestic and global markets due to its safe and sustainably-sourced product range, which has led to a significant increase in demand. It is considering purchasing a larger automated factory, which will lead to some job losses. External finance is required to fund the purchase, using either a mortgage or becoming a public company on the Australian Securities Exchange (ASX). The response must be presented as a business report.

**37. Question 27** HSC Final Exam Preparation — OPERATIONS

**20 marks**

Evaluate the response of operations management to external influences.

**38. Question 25** HSC Final Exam Preparation — OPERATIONS

**20 marks**

You have been employed as a consultant to prepare a report for the management of Fast Car Parts Ltd. In your report:

- Outline TWO National Employment Standards the Human Resource manager should be aware of while negotiating the new enterprise agreement.
- Describe ONE influence on operations at Fast Car Parts Ltd.
- Discuss TWO appropriate operations strategies management could implement at Fast Car Parts Ltd.
- Recommend ONE profitability strategy the business could use to help increase sales or reduce expenses.

## STIMULUS

Fast Car Parts Ltd is a successful producer of car parts with a number of factories throughout NSW. It is experiencing difficulties with its operations due to the rapidly changing nature of global markets and increased competition. This has led to declining sales and increasing expenses. The Human Resource manager is currently negotiating a new enterprise agreement with staff. Management are unsure about the various strategies they need to implement to solve the issues the company faces.

**39. 25** Knox Trial 2023**20 marks**

You have been hired as a consultant by Delicious Burgers to write a business report for the owners. In your report:

- describe the influence of quality expectations as part of its operations function that Delicious Burgers must consider as it expands into new markets.
- discuss the use of holding stock as part of their inventory management in each location.
- assess the human resource management strategies of recruitment and performance management to help achieve its forecasted growth objectives.

**STIMULUS**

Delicious Burgers is a successful Australian high-quality fast-food business which started in 2010 in Manly, Sydney and now operates in more than 30 locations in NSW and Queensland, employing 250 staff. It offers burgers and associated meals including desserts. Restaurants are fitted out so customers feel they are in a beach shack with a relaxed atmosphere. Key to its success has been experienced staff such as knowledgeable chefs and wait staff with excellent customer service skills; staff turnover is very low at 3% (industry average 20%).

Delicious Burgers has always sourced the freshest ingredients available and every burger is made to order. The business is expanding to new locations in Western Australia and must hire 50 staff. It has forecast a revenue growth rate of 40% for the next financial year. Management is considering: quality expectations of its goods and service offering; whether to hold inventory in each location; and human resource strategies, specifically recruitment and performance management.

**40. Question 26** HSC Final Exam Preparation — OPERATIONS**20 marks**

Explain how legal regulations and corporate social responsibility impact on a business' operations management.

PART 3

# Operations processes

**Inputs — transformed resources (materials, information, customers); transforming resources (human resources, facilities)**

**41. 23 (a)** Newington Trial 2023 **1 mark**

Identify one transforming resource

**42. 21 (a)** Roseville Trial 2024 **2 marks**

Identify ONE transformed and ONE transforming resource that would be relevant to this business.

Transformed resource: .....

Transforming resource: .....

**STIMULUS**

Sushi Train — a successful global Japanese fast food company rapidly expanding in Australia. Customers are attracted to its unique process layout, in which little plates of sushi rotate around on a train-style system. Customers take meals directly from the train and watch their meals being produced in front of them.

43. 21 (a) Roseville Trial 2023

2 marks

Outline why the customer themselves would be considered as a transformed resource in this business.

STIMULUS

Make Ur Own Ice Cream Pty Ltd is a premium self-serve ice cream shop where customers can grab whatever lollies and chocolates they want and add them into their ice creams. They only stock high-quality ingredients. The company weighs the product and charges a price based on how heavy it is.

44. 21 (a) Barker Trial 2023

2 marks

Using an example, distinguish between transformed and transforming resources.

45. 22 (a) Abbotsleigh Trial 2023

2 marks

With reference to this business, distinguish between transformed and transforming resources.

STIMULUS

Tasty Bites Café is a food-based business that aims to revitalise its competitive edge by expanding its menu to include a wider range of culinary offerings. By introducing innovative dishes in addition to their existing menu, the business aims to establish itself as a destination for delicious and satisfying dining experiences.

46. 21 (a) 2021 HSC Business Studies

2 marks

Outline how this customer can be considered an input in the construction of the new home.

STIMULUS

A building company has been contracted to build a new home for a customer. The contract requires the home to be completed within six months and within budget.

47. 24 (a) 2019 HSC Business Studies

2 marks

Identify TWO transforming resources used in this business.

STIMULUS

Question 24 scenario: A juice bar is operating in a shopping centre. The juice is served to customers in plastic cups with plastic straws. The high sales volume and quick turnover demand an efficient operations process.

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48. Question 23 (a) HSC Final Exam Preparation — OPERATIONS

2 marks

Identify ONE transformed and ONE transforming resource.

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*Also tested by question 63.*

Transformation processes — influence of volume, variety, variation in demand, visibility

49. 23 (a) Abbotsleigh Trial 2024 2 marks

Describe the influence of variety on the transformation process for this business.

STIMULUS

Precision Shave produces and sells a collection of eco-friendly razors made from sustainable materials. The business is also introducing a subscription service that delivers customised shaving kits catering to the specific needs of individual consumers.

50. 21 (b) Barker Trial 2023 2 marks

How does the volume of output influence the operations process?

51. 21 (c) Roseville Trial 2024

3 marks

How might the influence of variety impact TWO aspects of the operations process for this business?

STIMULUS

Sushi Train — a successful global Japanese fast food company rapidly expanding in Australia. Customers are attracted to its unique process layout, in which little plates of sushi rotate around on a train-style system. Customers take meals directly from the train and watch their meals being produced in front of them.

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52. 21 (d) Reddam Trial 2023

4 marks

Discuss the impact of variety and visibility on the transformation process of the car retailer.

STIMULUS

A car retailer expects high demand and orders extra stock of the latest release lower priced, electric car. The car retailer also provides longer warranties than competitors as well as car repairs and services.

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53. 22 (b) Abbotsleigh Trial 2023

4 marks

Explain how the influence of volume could impact the transformation process for this business.

**STIMULUS**

Tasty Bites Café is a food-based business that aims to revitalise its competitive edge by expanding its menu to include a wider range of culinary offerings. By introducing innovative dishes in addition to their existing menu, the business aims to establish itself as a destination for delicious and satisfying dining experiences.

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54. 24 (b) 2019 HSC Business Studies

4 marks

How does variety impact the transformation process of this business?

**STIMULUS**

Question 24 scenario: A juice bar is operating in a shopping centre. The juice is served to customers in plastic cups with plastic straws. The high sales volume and quick turnover demand an efficient operations process.

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*Also tested by questions 14, 63, 64, 65.*

Sequencing and scheduling — Gantt charts, critical path analysis

55. 21 (c) Reddam Trial 2024

3 marks

Assess the use of sequencing and scheduling techniques in the manufacturing process of the sports shoe manufacturer.

STIMULUS

Case scenario: a leading sports shoe manufacturer enables customers to design their own shoes. This has required the business to purchase an additional factory and machinery.

56. 22 (b) Knox Trial 2023

3 marks

How could Gantt charts assist this business with the change?

STIMULUS

HiTel is a leading Australian electronics company expanding rapidly in the Asia Pacific region. It is moving its Sydney-based manufacturing to India. The cost of the change is forecast at \$40 million, it will take six months to implement, and 250 staff will be impacted.

57. 21 (b) 2021 HSC Business Studies

4 marks

How could a Gantt chart help the building company meet the terms of the contract?

STIMULUS

A building company has been contracted to build a new home for a customer. The contract requires the home to be completed within six months and within budget.

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58. Question 23 (c) HSC Final Exam Preparation — OPERATIONS

4 marks

Explain how Gantt charts and critical path analysis can be used to improve business operations.

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Also tested by question 66.

Technology, task design and process layout

59. 21 (c) Barker Trial 2023

2 marks

Outline the purpose of task design.

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60. 22 (b) Barker Trial 2024

3 marks

Why would a product layout be useful for this business?

STIMULUS

Focus Frames produces eyewear such as sunglasses and prescription glasses using an automated assembly line that is run by a combination of staff and robotics. They are seeking to improve the speed and efficiency of their manufacturing process.

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61. 22 (b) Independent Trial 2024 · Newington Trial 2024

4 marks

Explain how technology can assist this business to improve its operations processes. Support your answer with relevant examples.

STIMULUS

Style Furniture Pty Ltd is an Australian business that manufactures and sells furniture in Sydney. The business is holding excess stock which is difficult to sell. Management is attempting to improve its furniture production and reduce the cost of its operations processes. It is also investigating if outsourcing its operations processes to an overseas manufacturer or investing in technology will assist it in achieving its goals.

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62. 21 (c) 2022 HSC Business Studies

4 marks

Compare each layout in terms of efficiency and profitability.

STIMULUS

Scenario: Michael would like to open a new burger restaurant. Lead-in: "Michael is considering which process layout would be the most efficient for this restaurant." Two floor-plan diagrams are provided. Both options contain the same stations - stove, burger assembly station, raw meat refrigerator, finished burgers, seating area, cash registers and entrance - but arranged in a different order, so the flow of raw meat to the assembly station and of finished burgers through to the cash registers and seating area differs between the two layouts.

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Also tested by questions 14, 67.

Monitoring, control and improvement

No short-answer question of its own. Covered inside questions 14, 65, 66, 68.

Outputs — customer service, warranties

No short-answer question of its own. Covered inside questions 33, 63.

## PART 3 · EXTENDED RESPONSE

# Operations processes — 20-mark questions

6 questions. Plan and write these on separate paper.

## 63. 25 Loreto Trial 2024

20 marks

You have been hired as a consultant by Zilor to write a business report to the owners. In your report:

- Outline how the business could adopt e-marketing and differentiation strategies as part of its marketing plan to improve sales.
- Analyse the operations processes required to be implemented by the business to address its goals.
- Recommend TWO operations strategies that can help the business to sustain its competitive advantage.

### STIMULUS

Zilor is a bicycle and scooter manufacturer and retailer. It makes high quality products in Australia. Zilor has built its reputation on innovation and has been operating for 20 years. Despite its past performance, Zilor faces several challenges: falling retail sales the past two years and rising input costs; current marketing efforts have been limited to radio and print media; wholesale competitors are selling cheap imported electric bicycles and scooters. For the first time ever, Zilor is planning to import parts from overseas in order to manufacture and retail electric bicycles and scooters to increase its market share and sales. Responses are assessed as a business report applied to this hypothetical business situation.

## 64. 25 SIC Trial 2024

20 marks

The directors have asked you to write a business report in which you:

- Outline the impact of variation in demand and variety on this business.
- Discuss a suitable source of finance for this business expansion.
- Recommend TWO working capital strategies for this business.

### STIMULUS

Roberto y Carlos Pty Ltd (RYC): the founding partners are shareholders in a national fast food chain franchise. The business currently owns a large head office and 25 out of 200 stores. RYC is popular amongst students and businesspeople for its affordable products and friendly, quick service. They are planning to introduce a new menu with expanded options. RYC is seeking to go global next year and requires significant external funding to support the expansion; an investor has offered the total capital to fund the expansion in return for 51% equity. Other key financial information: current ratio of 0.8:1 (30% lower than the industry average); rent affordability is currently at a 5-year low; current interest rates are high at around 8%.

**65. 25** 2020 HSC Business Studies**20 marks**

Icecreams R Us exclusively delivers ice-cream to homes in Newcastle. To increase market share, they are negotiating with a major service station chain, Eucafuels Ltd, to sell their brand of ice-cream throughout NSW.

Before they agree to sell the ice-cream, Eucafuels Ltd have a number of concerns over the ability of Icecreams R Us to:

- deliver ice-cream to their outlets in NSW in a timely manner
- create an awareness that the ice-cream will be sold at Eucafuels Ltd outlets
- produce an increased volume of ice-cream while maintaining a quality product.

To address these concerns, you have been hired as a consultant by Icecreams R Us to write a report to their directors. In your report:

- describe TWO physical distribution issues that the business needs to consider in the delivery of their product
- justify ONE promotional strategy the business could use
- recommend possible changes the business could make to their operations processes to address the volume and quality concerns of Eucafuels Ltd.

**STIMULUS**

Hypothetical business: Icecreams R Us, which currently delivers ice-cream only to homes in Newcastle. To increase market share it is negotiating with a major NSW service station chain, Eucafuels Ltd, to stock its ice-cream statewide. Eucafuels Ltd is concerned about Icecreams R Us's ability to deliver to NSW outlets in a timely manner, to create awareness that the ice-cream is sold at Eucafuels outlets, and to produce increased volume while maintaining quality. The response must take the form of a consultant's business report to the directors.

**66. 25** Abbotsleigh Trial 2024**20 marks**

You have been hired as a consultant by Cozy Corner Cafe to write a business report for the owners. In your report:

- Outline the advantages and disadvantages of holding stock this business should consider in its operations.
- Explain the importance of compliance with work health and safety legislation and workers compensation for this business.
- Recommend operations processes that Cozy Corner Cafe can implement to address the concerns of customers.

**STIMULUS**

Cozy Corner Cafe operates a café in Wahroonga renowned for its coffee and homemade pastries. The business is looking to expand its menu with a new selection of healthy breakfast items. Recent customer feedback has highlighted issues with inconsistent coffee quality and long wait times, prompting the café to address these concerns. Additionally, employees have raised concerns that the cramped kitchen space poses significant health and safety risks, including a higher likelihood of accidents, difficulties in maintaining cleanliness, and challenges with proper ventilation and fire safety. Answer in the form of a business report.

**67. 25** Reddam Trial 2024**20 marks**

In your report:

- Justify an appropriate restaurant (plant) layout for Supreme Pizza's Ltd (SPL) operations processes.
- Explain the importance of establishing marketing objectives and identifying target markets in the marketing process/plan of Supreme Pizza's Ltd (SPL).
- Evaluate TWO global marketing strategies Supreme Pizza's Ltd (SPL) could use to expand into global markets.

**STIMULUS**

Case scenario (business report): Supreme Pizza's Ltd (SPL) is a chain of Pizza restaurants operating in Australia. The business is facing intense competition in the fast-food industry and has lost significant market share. This is due to high levels of customer complaints concerning the poor quality of Pizzas and the level of service provided in their restaurants. Supreme Pizza's Ltd (SPL) intends to expand into global markets to overcome the loss of sales in Australia. This would require Supreme Pizza's Ltd (SPL) to revise the marketing process/plan. The student is employed as a consultant to prepare a report for management of Supreme Pizza's Ltd (SPL).

**68. 27** Barker Trial 2024

**20 marks**

Assess the use of operations strategies to improve operations processes.

PART 4

# Operations strategies

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**Performance objectives — quality, speed, dependability, flexibility, customisation, cost**

**69. Learn to 1** HSC Final Exam Preparation — OPERATIONS

discuss the balance between cost and quality in operations strategy

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**70. Learn to 8** HSC Final Exam Preparation — OPERATIONS

recommend possible operations strategies for one hypothetical business

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**71. 21 (a)** SIC Trial 2024

**2 marks**

Describe the relationship between cost and quality in operations.

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72. 21 (b) Reddam Trial 2024

2 marks

Explain ONE possible conflict that may arise between achieving TWO performance objectives for the sports shoe manufacturer.

**STIMULUS**

Case scenario: a leading sports shoe manufacturer enables customers to design their own shoes. This has required the business to purchase an additional factory and machinery.

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73. 21 (a) 2022 HSC Business Studies

2 marks

Outline a performance objective relevant to this business.

**STIMULUS**

Scenario: Michael would like to open a new burger restaurant.

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**74. 22 (c) Barker Trial 2024**

**5 marks**

Analyse the implementation of technology in achieving operations objectives for this business.

## STIMULUS

Focus Frames produces eyewear such as sunglasses and prescription glasses using an automated assembly line that is run by a combination of staff and robotics. They are seeking to improve the speed and efficiency of their manufacturing process.

**75. 22 (c) Knox Trial 2023**

**5 marks**

Recommend TWO global factors that HiTel should implement to meet cost and speed performance objectives.

STIMULUS

HiTel is a leading Australian electronics company expanding rapidly in the Asia Pacific region. It is moving its Sydney-based manufacturing to India. The cost of the change is forecast at \$40 million, it will take six months to implement, and 250 staff will be impacted.

*Also tested by questions 13, 63, 68, 93, 94, 95, 96, 97.*

New product or service design and development

76. 21 (d) Reddam Trial 2024 3 marks

Recommend ONE operations strategy that could be used to improve the performance of the sports shoe manufacturer.

STIMULUS

Case scenario: a leading sports shoe manufacturer enables customers to design their own shoes. This has required the business to purchase an additional factory and machinery.

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77. 23 (b) Newington Trial 2023 4 marks

A business has decided to expand its product range. Discuss the operational strategy of new product or service design and development for this business

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Supply chain management — logistics, e-commerce, global sourcing

78. 21 (d) Roseville Trial 2024

4 marks

Explain how the operations strategies of global sourcing and economies of scale might be beneficial to this business.

STIMULUS

Sushi Train — a successful global Japanese fast food company rapidly expanding in Australia. Customers are attracted to its unique process layout, in which little plates of sushi rotate around on a train-style system. Customers take meals directly from the train and watch their meals being produced in front of them.

Also tested by questions 38, 68, 95, 97, 98.

Outsourcing — advantages and disadvantages

79. 22 (c) Independent Trial 2024 · Newington Trial 2024

4 marks

What are the advantages of this business outsourcing its operations process overseas.

STIMULUS

Style Furniture Pty Ltd is an Australian business that manufactures and sells furniture in Sydney. The business is holding excess stock which is difficult to sell. Management is attempting to improve its furniture production and reduce the cost of its operations processes. It is also investigating if outsourcing its operations processes to an overseas manufacturer or investing in technology will assist it in achieving its goals.

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80. 21 (c) 2021 HSC Business Studies

4 marks

Explain TWO quality management strategies that could be used to ensure the quality of the outsourced work.

**STIMULUS**

A building company has been contracted to build a new home for a customer, to be completed within six months and within budget. The operations manager will need to outsource certain elements of the construction process.

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*Also tested by questions 98, 99, 100.*

**Technology — leading edge, established**

81. 21 (c) SIC Trial 2024

4 marks

Explain how the adoption of leading-edge technology can sustain a business's competitive advantage.

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## 82. 21 (c) 2023 HSC Business Studies

**5 marks**

The owners of the tyre manufacturing business have purchased leading-edge technology to help achieve economies of scale.

Explain why both staff and management might be resistant to this change.

## STIMULUS

An Australian tyre manufacturer is expanding its business, sourcing rubber from the global market to reduce operating costs and increase sales and profit, while wanting to maintain quality outputs and achieve economies of scale. The owners have purchased leading-edge technology to help achieve economies of scale.

Also tested by questions 19, 38, 61, 68, 74, 76, 93, 94, 95.

Inventory management — LIFO, FIFO, JIT

83. 22 (b) Reddam Trial 2024

2 marks

Describe ONE inventory management strategy Buffy’s Florist Pty Ltd could use in the business.

**STIMULUS**

Balance Sheet for Buffy’s Florist, 1/1/24 – 30/6/24. Current Assets: Cash \$10 000; Accounts Receivable \$70 000; Inventory \$80 000 (total \$160 000). Non-Current Assets: Retail Premises \$800 000; Delivery vans \$100 000. Current Liabilities: Accounts Payable \$90 000; Bank overdraft \$60 000 (total \$150 000). Non-Current Liabilities: Mortgage \$600 000. Owners’ Equity: Capital \$260 000; Retained Profit \$50 000. Additional financial information: Industry Average Liquidity/Working Capital Ratio = 2:1.

84. 22 (a) Independent Trial 2024 · Newington Trial 2024

2 marks

Recommend an inventory management system that can be used by this business to better manage stock.

**STIMULUS**

Style Furniture Pty Ltd is an Australian business that manufactures and sells furniture in Sydney. The business is holding excess stock which is difficult to sell. Management is attempting to improve its furniture production and reduce the cost of its operations processes. It is also investigating if outsourcing its operations processes to an overseas manufacturer or investing in technology will assist it in achieving its goals.

85. 21 (b) Reddam Trial 2023

2 marks

Describe ONE disadvantage of holding stock for the car retailer.

STIMULUS

A car retailer expects high demand and orders extra stock of the latest release lower priced, electric car. The car retailer also provides longer warranties than competitors as well as car repairs and services.

86. 23 (d) Newington Trial 2023

3 marks

Recommend and justify an inventory management system this business should use

STIMULUS

Rebecca owns and operates a health food business. Due to an increase in competition from large retail chains, she needs to revise her operational strategies. A problem that her customers have identified is products that are consistently 'out of stock', as well as damaged goods in need of replacing.

**87. 21 (b)** 2022 HSC Business Studies

**3 marks**

Recommend an appropriate inventory management strategy for this business.

**STIMULUS**

Scenario: Michael would like to open a new burger restaurant.

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*Also tested by questions 39, 66, 68.*

**Quality management — control, assurance, improvement**

**88. 21 (a)** 2023 HSC Business Studies

**2 marks**

Outline ONE potential issue this business could face in relation to both cost and quality of outputs.

**STIMULUS**

An Australian tyre manufacturer is expanding its business. In order to reduce operating costs and increase sales and profit, rubber will be sourced from the global market. The business wants to: maintain quality outputs; achieve economies of scale.

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89. 21 (c) Roseville Trial 2023

4 marks

Why might certain aspects of quality control be challenging for this business?

**STIMULUS**

Make Ur Own Ice Cream Pty Ltd is a premium self-serve ice cream shop where customers can grab whatever lollies and chocolates they want and add them into their ice creams. They only stock high-quality ingredients. The company weighs the product and charges a price based on how heavy it is.

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*Also tested by questions 13, 68, 69, 76, 80, 93, 94, 95, 96, 97, 101.*

**Overcoming resistance to change — financial costs, inertia**

90. 22 (b) Abbotsleigh Trial 2024

2 marks

Explain ONE reason employees may resist change in their workplace.

**STIMULUS**

The retail business, Spend More, has been rapidly expanding in the past 2 years and requires additional staff and premises. However, the increasing changes have led to conflict and uncertainty between management and employees in the workplace.

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91. 22 (a) Knox Trial 2023

2 marks

Outline TWO reasons why management might be resistant to this change.

**STIMULUS**

HiTel is a leading Australian electronics company expanding rapidly in the Asia Pacific region. It is moving its Sydney-based manufacturing to India. The cost of the change is forecast at \$40 million, it will take six months to implement, and 250 staff will be impacted.

92. Question 23 (b) HSC Final Exam Preparation — OPERATIONS

4 marks

Discuss the financial costs associated with changing the operations process of a business.

*Also tested by questions 36, 82.*

**Global factors — global sourcing, economies of scale, scanning and learning, R&D**

*No short-answer question of its own. Covered inside questions 16, 22, 75, 78, 79, 88, 93, 100.*

## PART 4 · EXTENDED RESPONSE

# Operations strategies — 20-mark questions

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9 questions. Plan and write these on separate paper.

**93. 27** Roseville Trial 2024

**20 marks**

Assess strategies that management can use to respond to influences on operations.

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**94. 26** Abbotsleigh Trial 2023

**20 marks**

Assess the importance of operations strategies in enabling business to achieve the performance objectives.

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**95. 27** Barker Trial 2023

**20 marks**

Assess the importance of operations strategies in achieving the operations objectives of cost and quality.

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**96. 25** Reddam Trial 2023

**20 marks**

You have been employed as a consultant to write a business report to the owners of Natural Life Ltd. In your report:

- Outline the relationship between cost and quality in the operations of Natural Life.
- Recommend ONE human resource process that could be used to address the current issues of Natural Life.
- Evaluate TWO operation strategies Natural Life could adopt to achieve flexibility and dependability performance objectives.

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## STIMULUS

Business report scenario — Natural Life: an Australian manufacturer of a range of expensive herbal vitamins and nutritional supplements. The business sources their inputs from local suppliers and undertakes production in their factories throughout Australia. However, Natural Life have received complaints from customers regarding the poor quality of their products and their slow response to customer complaints. Also, there have been media reports concerning the large number of accidents and staff injuries occurring in their factories.

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**97. Question 27** HSC Final Exam Preparation — OPERATIONS · 2019 HSC Business Studies**20 marks**

Analyse the relationship between performance objectives and operations strategies.

**98. Question 26** Roseville Trial 2023**20 marks**

Evaluate how the operations strategies of supply chain management and outsourcing have been successfully used by business in responding to influences on operations.

**99. 25** Newington Trial 2023**20 marks**

You have been hired as a consultant to write a report for Fly Well Airlines Ltd.

In your report:

- Outline ONE advantage and ONE disadvantage of outsourcing aircraft servicing and maintenance.
- Discuss issues involved in raising funds through both debt and equity finance and make a recommendation to management about which source of funding to use.
- Explain TWO human resource strategies that could assist Fly Well Airlines Ltd to address management concerns and help achieve business success.

**STIMULUS**

Fly Well Airlines Ltd is a low-cost Australian based domestic airline that has been exploring options to expand globally. Its domestic customers in Australia typically tend to be business executives and budget conscious leisure travellers. The business intends to begin operating flights into the highly competitive Asian market in the latter part of 2023. To achieve this, the business will have to fund the purchase of new computerised ticketing and baggage facilities at its Sydney terminal. Management believes there is also opportunity for the airline to move all scheduled aircraft servicing and maintenance to a contractor in Singapore. Employees who belong to unions have indicated they will respond to this with industrial action. Management is also concerned about the best way to achieve a sustainable competitive advantage in their new overseas markets.

**100. 2014 HSC Question 25** 2021 Finance Practice HSC Questions**20 marks**

You have been hired as a consultant to write a report to the management. In your report:

- recommend a source of finance for the factory expansion
- discuss outsourcing overseas compared with the factory expansion
- explain the global factors that need to be considered if they decide to use outsourcing as an operations strategy.

**STIMULUS**

Case scenario (business report): Emu Uniform Manufacturers Pty Ltd are a successful business based in NSW. They currently supply a range of school, sport and work uniforms to a large number of customers throughout Australia. They are known for their outstanding customer service and high quality products. Sales have been increasing for many years and they have recently received a large long-term contract to supply uniforms to a major company. This will require them to significantly expand their output. To do this, the business will have to outsource overseas or spend \$5 million to expand its existing factory in NSW.

**101. 25** Independent Trial 2024 · Newington Trial 2024**20 marks**

You have been hired as a consultant by management at Kidzglo Pty Ltd to write a business report for the owners.

In your report:

- Outline how Kidzglo can differentiate its products from its competitors.
- Discuss the quality management approaches that can be used to address the challenges faced by Kidzglo.
- Recommend TWO appropriate marketing strategies to help this business achieve its marketing objectives.

**STIMULUS**

Kidzglo Pty Ltd is a large business that manufactures and sells children's shoes and clothing. It has been operating successfully in Australia for 5 years with retail shops across the country. The business is facing a number of challenges including: increasing customer complaints about poor quality goods; increasing competition as more online sellers enter the marketplace; and falling sales and declining market share over the past 2 years. Answer is to be presented in the form of a business report.